

CHAPTER 16

Unemployment: Meaning, Measurement and Canada's Experience

Answers to End-of-Chapter Review Questions

1. (LO1, 2)
 - a) The two measures are drawn from the Labour Force Survey and the statistics from the Unemployment Insurance (renamed "Employment Insurance" in 1996) program. Although the data are drawn from different sources, the underlying concept is the same. The objective is to measure the percentage of the labour force that is willing and able to work, is searching for work, but is unable to find employment.
 - b) Far and away, the most widely used measure is the one drawn from the Labour Force Survey. The measure drawn from unemployment insurance figures is used to gauge the number of unemployed workers who are actually drawing unemployment insurance benefits. It greatly understates the actual number of people unemployed, as many of them are ineligible to receive benefits. This measure of unemployment actually captures a few people who are employed, and certain individuals who are not in the labour force. It is not really a very useful measure, except to evaluate the UI program itself. The Labour Force Survey is carried out monthly. Its primary focus is on employment and unemployment activity, so it is carefully designed to capture these phenomena. The labour force survey is quite timely, with a lag of only a month or two.

Bear in mind that we can only estimate what the true rate of unemployment actually is. It is a science to do so, and the survey instruments and measurement techniques should always be scrutinized. Although the labour force survey is by far the best measure, it is helpful to have several measures, because if systematic discrepancies between them appear, it can be a signal that the survey methods should be changed.
2. (LO1, LO6)
 - a) The labour force participation rate is the labour force divided by the population of working age. The employment rate is the level of employment divided by the population of working age. The unemployment rate is the level of unemployment divided by the labour force.
 - b) The employment rate is appropriate for assessing job creation and destruction activity. It is indicative of the trends in labour demand. The labour force participation rate tells a lot about labour supply patterns and can be used to track trends in labour supply. The unemployment rate is affected by both labour demand and labour supply influences, and is the most complex measure. The best

interpretation for the unemployment rate is the degree to which available labour is not being utilized. It is widely considered to be the most meaningful measure to assess social well-being, but changes in the unemployment rate should be analyzed and decomposed into supply-side and demand-side influences.

- c) If the economy is in a deep recession, the unemployment rate will rise, and the employment and labour force participation rates will fall. If the economy is in a brisk recovery, the unemployment rate will fall, and the employment rate and the labour force participation rate will rise. In a mild recovery, it is frequently the case that the unemployment rate is resilient, or even rising even in the face of rising employment, because the increase in the labour force outstrips the increase in the number of jobs (think of the discouraged worker effect in reverse). In this instance, all three indicators move in the same direction. In the mid 1990s, this was a frustrating problem in Canada.
3. (LO2, 4) The essence of hidden unemployment is the phenomenon of discouraged workers, who are not considered to be in the labour force. Many would argue that they should be considered as unemployed. Although they are not actively searching for work, they are suffering economic hardship and do not search because they believe that no work is available. Since the objective in measuring unemployment is to evaluate social welfare, many would claim that these workers should be classified as unemployed. On the other hand, the definition of what does or does not constitute active search (and therefore, who is officially categorized as unemployed or out of the labour force) is somewhat subjective. Once again, the primary question is how to classify the jobless. It is certain that they are a heterogeneous group. Some of the jobless have a high degree of attachment to the labour force, and most would agree that they are unemployed. They are presumably searching quite actively for a job. Others have a more marginal attachment and might not work very much even when times are good. In taking a survey it is difficult to distinguish accurately between the two groups.
4. (LO6) The term “labour force dynamics” is associated with gross flows and net flows. The three primary states of labour market activity are employment, unemployment, and being out of the labour force. Gross flows indicate the total number of people who have transitioned from any of these three states to another (there are six possible transitions), in any direction, over a given time interval. The net flows indicate the sum or difference of these gross flows along any of these channels in the two opposing directions. The gross flow between any two states is always greater than or equal to the net flow. For the net flows, a physics analogy would be the sum of two vectors representing opposing forces. Figure 16.2 provides an excellent illustration.
5. (LO5)
- a) The conventional view, which might be labelled the “static and conventional view,” stresses a shortage of jobs in explaining unemployment, and characterizes the same group of unemployed workers who are out of work for a long period of

time — until the recovery comes. This view has been thoroughly discarded by the profession. The “new view” is attributed to economist Martin Feldstein and stresses the dynamic nature of the labour force and the fluid nature of the labour market. It is not so new anymore. It is not the same people who are stuck in unemployment until the long-awaited aggregate recovery finally arrives. There is a lot of turnover in the labour market, with employed people becoming unemployed and vice versa. Most unemployment durations are short according to this perspective.

- b) The new view was quite dominant until the early 1990s. There were three qualifications, however. They are listed on pages 505-506. The first point is associated with the research of Clark and Summers, who showed that while most unemployment durations are short, much of the total time spent in the state of unemployment is experienced by a few disadvantaged individuals. The second point is that not all of the unemployed leave that state for the state of employment. Some of them leave to enter the state of not-in-the-labour-force. In some instances, this is indicative of economic hardship, while in others it is not. Third, it is necessary to examine the distribution of the burden of unemployment. It turns out that the burden is not equally shared. The Feldstein vision of many workers taking turns bearing a fairly light burden of unemployment (in the form of a short spell) is not correct. Unemployment tends to be concentrated in certain pockets of the labour force, such as younger workers and racial minorities. One must take account of the high degree of heterogeneity among the population of unemployed workers.

The experience in continental Europe over the past 20–25 years has cast great doubt on the validity of the “new view” in those labour markets.

6. (LO5) The youngest workers tend to have the highest unemployment rates at any point in time because they exhibit the highest instability of employment, and hence the highest incidence of unemployment over a given interval. Much of the unemployment that they experience, however, is probably frictional in nature. They exhibit a relatively high degree of job turnover, which is generated by a lot of quits, much geographical migration, and perhaps some dismissals. They are searching for more suitable jobs, which is a trial-and-error process. On the other hand, they also experience the lowest duration of unemployment of all age groups. In regard to changes in the aggregate unemployment rate over time, the implication is that one must take into consideration demographic changes in the composition of the labour force. If the labour force is becoming younger over time, one would expect that, all other factors held constant, the unemployment rate would rise, because youth have an inherently higher unemployment rate compared to older workers. See Table 16.4 of the text.
7. (LO5) This question overlaps with question 6. The basic idea is that groups such as younger workers with a high degree of turnover tend to hop from job to job. Sometimes

they quit, sometimes they are fired (like I was from a series of restaurant jobs in 1977), and sometimes they are laid off. In all cases, they are fairly likely to experience some unemployment, but the facts that they are flexible and mobile across occupations and regions and that they are active in those labour markets where there is a lot of job turnover means that they are less likely to spend a long time unemployed. They participate in labour markets which are fluid and dynamic. A lot of labour market churning occurs, which brings about employment instability, but it also causes many job vacancies. The high frequency of job vacancies has the effect of lowering the jobless durations for workers seeking such jobs.

One can think of it as a game of musical chairs. When the music stops, someone will be without a chair (a job), but then everyone has to give up their seat (their jobs) and circulate again. It is unlikely that the same person will be without a chair every time, so that person's duration of time without a chair (a job) is likely to be short.

8. (LO6)

- a) Generally, one seeks a measure to summarize the degree of economic hardship experienced by the unemployed, or else some measure of tightness or looseness of labour markets. It is considered to be a fairly good measure of the degree of under-utilization of available labour resources.
- b) There are a series of reasons for which the official rate might understate economic hardship. There is the discouraged worker effect, which is described above. There is the phenomenon of part-time unemployment, which is also explained above. Unemployment typically contributes to great economic hardship. There are also a series of reasons why the official rate might **overstate** economic hardship. Some of the unemployed represent second incomes upon which families don't depend to survive. While this point is controversial, it is true that family incomes are much more diversified than they were fifty years ago, so many families will not become destitute despite the temporary loss of an income through unemployment. Finally, some of the unemployed in Canada receive very extensive unemployment insurance benefits over long periods, which mitigate their losses. Labour unions and social activists argue that the true degree of unemployment is drastically understated by the official figures.
- c) This question overlaps with part (b). See Exhibit 16.1 of the text for a list of the complementary measures of aggregate unemployment.